

GRUPO BIMBO®

Investor Presentation

Second Quarter 2016

Control Group: 76%
Float: 24%

GRUPO BIMBO

Market Cap: US$14.1 bn[1]

LTM 2Q'16 Revenues[2]	Countries	Plants	Routes	Sales Centers	POS	Associates	Brands	Products
US$13.6 Bn 5 YR CAGR: 4.2%	22	163	≈53,000	≈1,600	≈2.6 million	≈128,000	≈100	≈10,000

North America

U.S.

OROWEAT, THOMAS', Sara Lee, EARTH GRAINS, Entenmann's, Stroehmann, MRS BAIRD'S, Freihofer's, Nature's Harvest, Colonial

Canada

Tenderflake, Dempster's BAKERY, POM 1890, Ben's The Baker's Best, BON MATIN, McGAVIN'S WESTERN CANADA'S OWN, Villaggio

Mexico

BIMBO, Marinela, BARCEL, Milpa Real, Lara, Ricolino, dulces Vero, Tía Rosa

Latin America

PULLMAN, Plusvita, nutrella, PANTODOS, Fargo El Pan del día, Ana María, FIRENZE, IDEAL

Europe

BIMBO, IBERIA, OROWEAT, NEW YORK BAKERY Co, Sandwich Thins, Silueta, EAGLE, Ortiz, Martínez Cereales para disfrutar

Asia

宾堡 BIMBO, 百萬莊園, FOOD 金红伟 JINHONGWEI

1. *As of July 27, 2016. Expressed in US$ at the FX of $18.83 Ps./US*
2. *Converted to US$ with the average FX rate of that period*

Where do we stand?



- A **Global Consumer Products** Company and **the leader** in the baking industry space
- Remarkable growth story with financial **stability**
- Investments on manufacturing and logistics capabilities targeted to foster **productivity**
- Unyielding **discipline** on a **conservative** financial policy
- Successful culture of business **integration**, recently in **North America, Latin America** and **Europe**
- Relentless effort on **innovation** and **sustainability** to increase brand equity

Successful growth story

- ✓ Long term view and a strict reinvestment policy
- ✓ Innovation and execution continue to drive organic growth
- ✓ Acquisitions have been a key component to gain global reach
- ✓ Leadership position in both, mature and high growth markets
- ✓ Accelerated international expansion during the last decade




OUR VISION
In 2020
we transform
the baking
industry and
expand our
global leadership
to better serve
more consumers.

KEY CAPABILITIES

OUR MISSION

DELICIOUS AND NUTRITIOUS BAKED GOODS AND SNACKS IN THE HANDS OF ALL.

1 OUR ASSOCIATES' ENGAGEMENT AND COMMITMENT TO OUR VISION

2 ENDURING MEANINGFUL BRANDS

3 UNIVERSAL PRESENCE WITH SUPERIOR EXECUTION

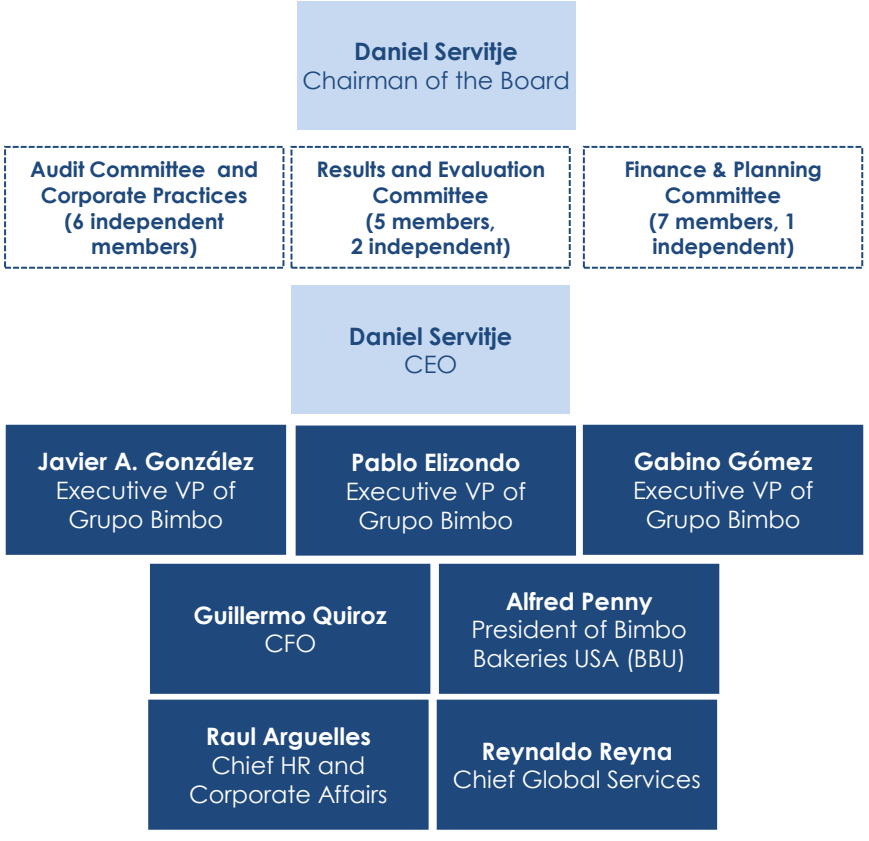
4 WINNING INNOVATION IN PRODUCTS AND PROCESSES

5 OUR CULTURE OF CONTINUOUS IMPROVEMENT



GRUPO BIMBO

Seasoned management team and sound governance



Management

- Positioned the Company as market leader in the products and countries where present
- Proven track record of stability and sustainable growth
- Successfully completed and integrated 48 acquisitions over the last 10 years

Governance

- Corporate Governance aligned with shareholders' interest
- 39% of board members are independent
- 3 corporate committees

Social Responsibility

- GB ranks among the most respected companies of the world[1]
- Reputation built on a strong corporate identity and brand equity
- Key component of GB's corporate identity is its company-wide Social Responsibility Program
- Complies with WHO's Global Strategy on Diet and Physical Activity & Health

1. According to the Reputation Institute

Strong Power Brands

4 Billion dollar brands









3 >$500 million dollar brands







Source: IRI & Nielsen; Retail Sales Price


THOMAS'


BIMBO
Pan Blanco
artesano
Pan
artesano
LA OBRA MAESTRA DE LOS PANES
BIMBO


Marinela


OROWEAT
Bread Perfected
OROWEAT
100% INTEGRAL
12 GRANOS
12 GRAIN


BIMBO

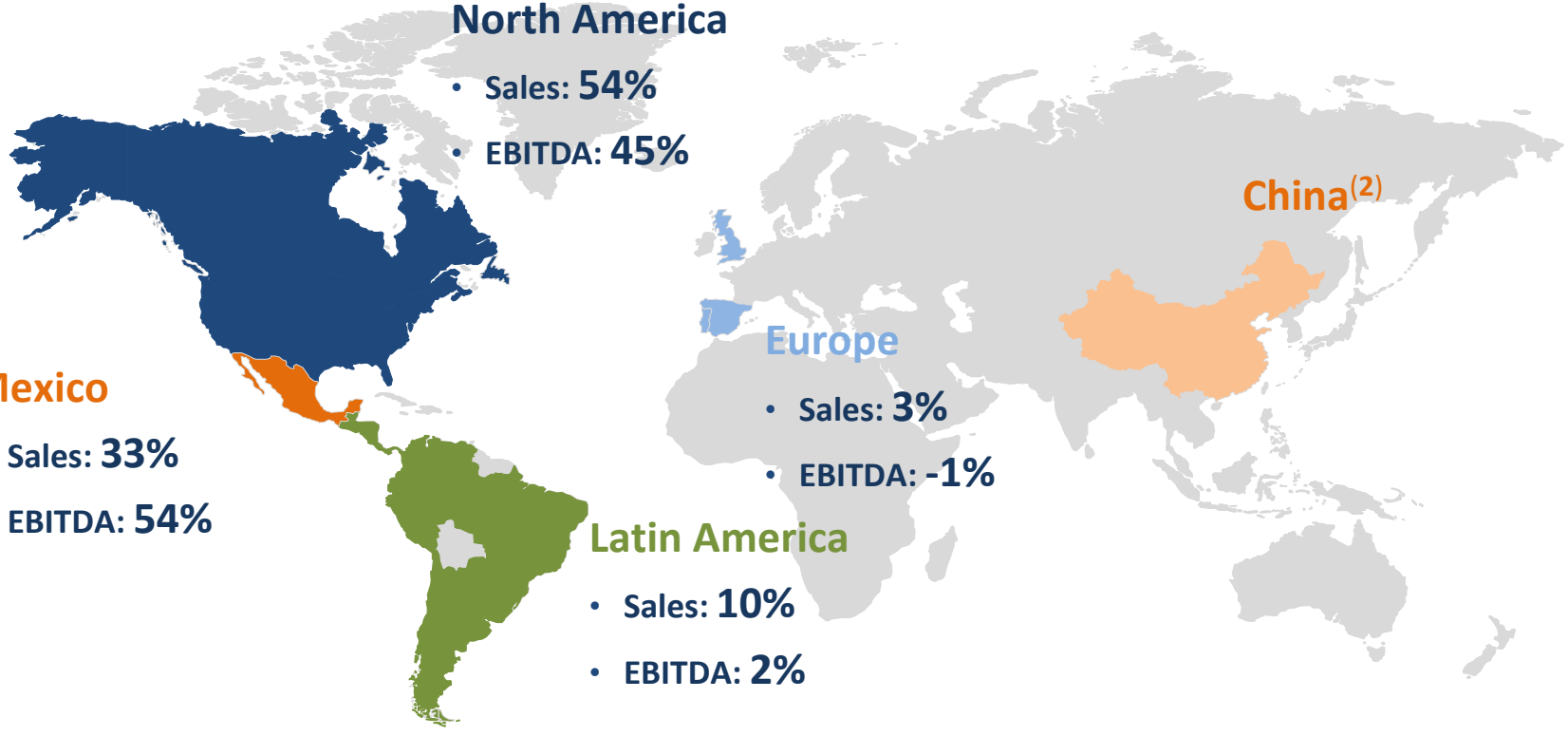

Takis

We are developing products and categories that lead new megatrends



A Well Balanced Business…

Revenue and Adj. EBITDA Breakdown[1]



North America
- Sales: 54%
- EBITDA: 45%

Mexico
- Sales: 33%
- EBITDA: 54%

Europe
- Sales: 3%
- EBITDA: -1%

China[2]

Latin America
- Sales: 10%
- EBITDA: 2%

1. June 30, LTM Revenues and EBITDA converted to US$ with the average FX rate of the period
2. China's results included in Mexico

…with a strong leadership position in each market



North America

U.S.

- Leader nationwide
- **#1** in premium brands
- **#1** in English muffins
- Strong regional brands

Canada

- **#1** in buns & rolls
- **#1** in breakfast
- **#2** in bread

China[1]

- Pioneer in developing packaged baked goods in Beijing and Tianjing

Mexico

- **#1** in packaged baked goods
- **#2** in cookies and crackers
- **#2** in salty snacks
- **#2** in confectionary

Europe

Portugal, Spain & U.K.

- **#1** in bread & rolls in Spain
- **#2** in bread & rolls in Portugal
- **#1** in bagels in the U.K.

Latin America

- **#1** in packaged baked goods in 15 countries

Source: Nielsen, Company filings

1. According to Company Research, included in Mexico´s results

Exceptional manufacturing capabilities



60+
million pieces are produced daily

State-of-the-art facilities in all of our markets

Focus in low-cost manufacturing and efficiency

World class distribution



79+
Trips around the Earth daily

Guarantees quality and freshness

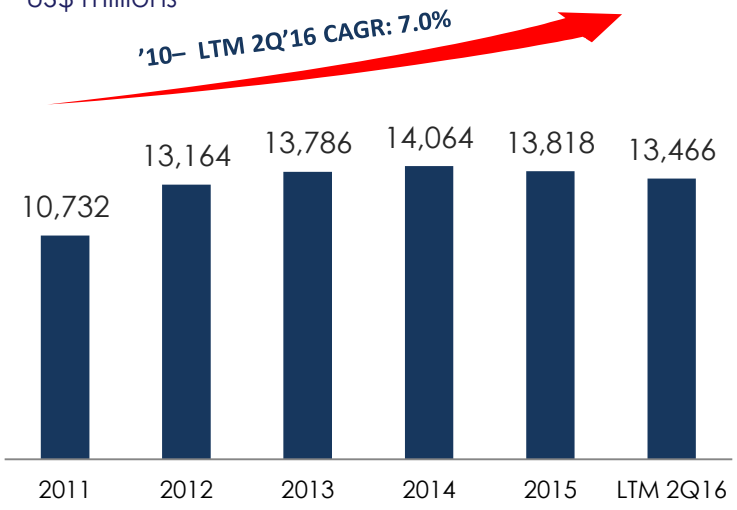
Exceptionally serves all of its distribution channels

Commitment to local execution

Strong financial performance

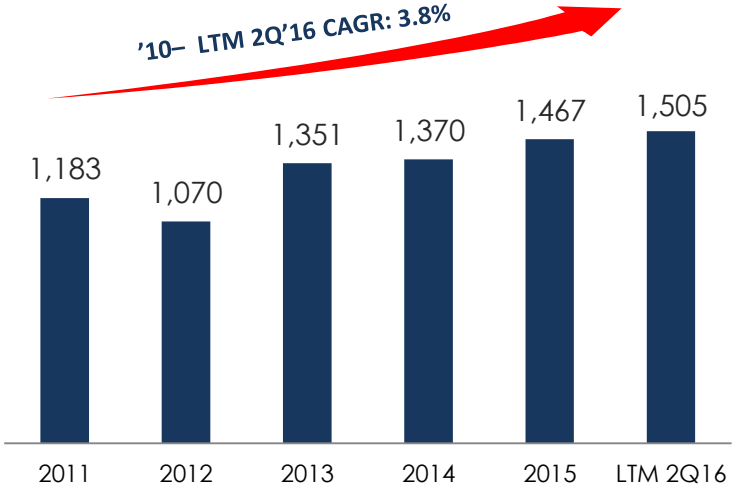
Revenue Growth(1)

US$ millions



Adj. EBITDA Growth(1)

US$ millions



Stock Performance(2)

YTD return, %

GRUPO BIMBO **+ 22.4%**

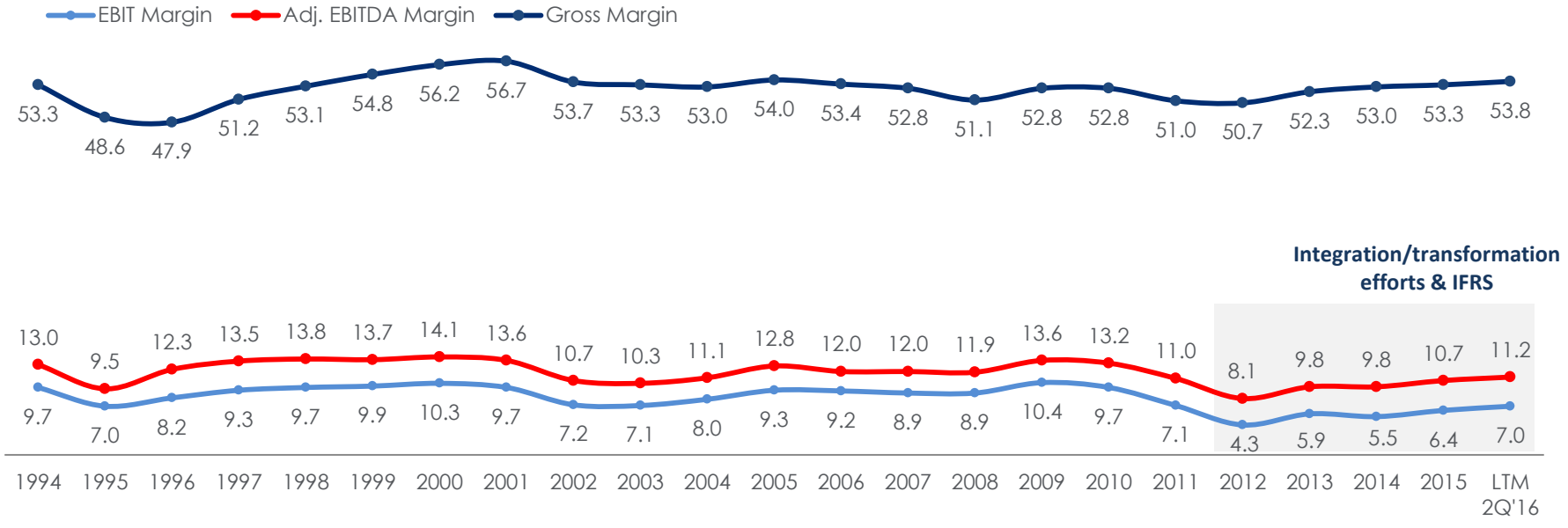
Grupo BMV(3) **+ 8.9%**

GB	**11.0%**	**8.1%**	**9.8%**	**9.8%**	**10.2%**	**11.2%**
Mexico	**14.3%**	**13.8%**	**15.8%**	**16.7%**	**17.5%**	**17.7%**
North America	**9.8%**	**6.4%**	**7.3%**	**6.2%**	**8.2%**	**9.9%**
Latin America	**1.7%**	**-1.1%**	**0.7%**	**3.9%**	**2.1%**	**1.7%**
Europe	**-18.6%**	**-8.7%**	**-3.8%**	**-0.9%**	**-4.3%**	**-2.8%**

1.Figures converted to USD using the 12M average FX rate for each year, Figures after 2011 in IFRS
2. As of July 27, 2016
3. Grupo BMV: Mexican IPC Index (Índice de Precios y Cotizaciones)

Cash flow stability across time allows long term planning

Margins Evolution, %



Best-in-Class execution combined with a relentless focus on low cost operation in a resilient industry results in financial stability over time

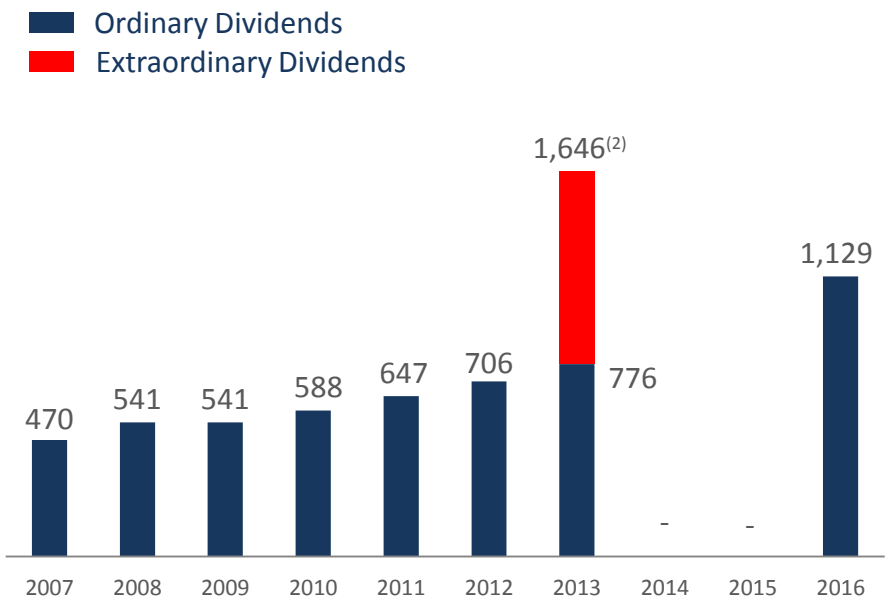
** Figures after 2011 in IFRS*

Responsible financial policies

- Commitment to a **strong Balance Sheet**
- Ongoing financial flexibility through a **US$2 billion** multi-currency **revolving credit facility**, maturing on March 2019
- **Reinvestment** as the pillar of the company's long term view
- Conservative **Risk Management** policy aligned with the company's strategy
  - Mitigate exposure to raw material cost fluctuation
  - Conservative approach towards FX and interest rate risks

Dividend History

MXN millions



1. *Dividend yield calculated with the stock price of the day the dividends were paid.*
2. *Paid in advance for 2014 and 2015*

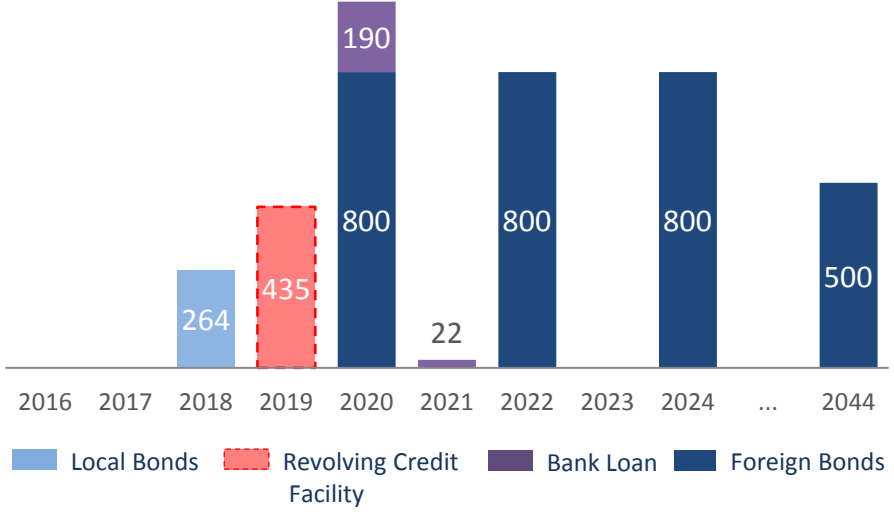
**FX rates: 2007: 10.84; 2008:10.52; 2009:13.36; 2010:12.22; 2011:11.55; 2012: 13.11; Apr 2013:12.28; Dec 2013: 13.00; Apr 2016: 17.31*

Conservative approach towards leverage

Debt Amortization Profile[1]

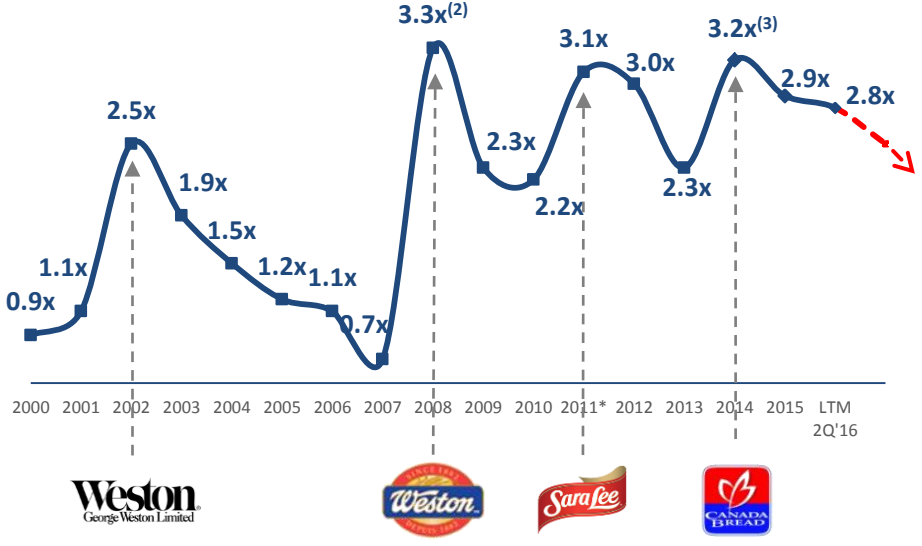
US$ millions

Total Debt: **US$3,811 mm**
Avg. Tenor: **8.1 yrs.**
Avg. Cost: **3.9%**



Track Record of Deleveraging

Total Debt/ Adj. EBITDA
BBB Rating



1. Debt amortization profile as of June 30, 2016. Figures converted to US$ at the FX rate of 18.91 Ps./US$, Does not include subsidiaries debt of US $309 mm, includes only indebtness in Canada Bread
2. Pro forma figures with Weston Foods acquisition
3. Pro forma figures with Canada Bread acquisition
** Figures after 2011 in IFRS*

Recent Acquisition

Producer of **sweet baked goods and buns & rolls** in Spain and Portugal

- Revenue **growth of ≈70%** in the region
- Synergies of **€(40 – 50) million**[1]
- Integration expenses: **≈€70 million**
- **High single digit** pro-forma EBITDA margin[1]



(1) Expected to be achieved in 30 months

Recent Acquisition

FOCUS ON PROFITABILITY

BIMBO IBERIA + PANRICO

UNIDOS SUMAMOS



Annex: Financial Results by Region

Grupo Bimbo

Revenue Growth[1]

MXN millions

2Q16	2Q15	% Change	Net Sales	6M16	6M15	% Change
60,626	53,267	13.8	Grupo Bimbo	117,202	103,315	13.4

Adj. EBITDA

MXN millions

2Q16	2Q15	% Change	Adj. EBITDA	6M16	6M15	% Change
6,838	5,652	21.0	Grupo Bimbo	12,564	9,891	27.0

2Q16	2Q15	Change pp	Adj. EBITDA (%)	6M16	6M15	Change pp
11.3	10.6	0.7	Grupo Bimbo	10.7	9.6	1.1

- ✓ Higher sales **in all regions**
- ✓ **Solid organic growth** in Mexico
- ✓ **FX benefit**

- ✓ Lower **raw material** costs in North America and Europe
- ✓ Lower **restructuring expenses** in the U.S.
- ✓ Productivity efficiencies in Mexico
- ✘ **Higher general expenses** in Latam
- ✘ **Integration expenses** in Canada

Mexico

Revenue Growth[1]

MXN millions

2Q16	2Q15	% Change	Net Sales	6M16	6M15	% Change
19,962	18,631	7.1	Mexico	39,906	37,455	6.5

Adj. EBITDA

MXN millions

2Q16	2Q15	% Change	Adj. EBITDA	6M16	6M15	% Change
3,495	3,255	7.4	Mexico	6,605	5,986	10.3

2Q16	2Q15	Change pp	Adj. EBITDA (%)	6M16	6M15	Change pp
17.5	17.5	0.0	Mexico	16.6	16.0	0.6

- ✓ **Healthy performance** across all channels and almost all categories
- ✓ **Sweet baked goods category** reversed its past negative trend
- ✓ **Solid** consumption environment
- ✓ **Productivity efficiencies** in distribution, manufacturing and marketing
- ✗ **FX effect,** pressure on raw materials

North America

Revenue Growth[1]

MXN millions

2Q16	2Q15	% Change	Net Sales	6M16	6M15	% Change
33,613	28,307	18.7	North America	63,794	53,242	19.8

- ✓ **FX benefit**
- ✓ **Growth** in strategic brands
- ✘ **Pressure** in non-branded
- ✘ **Challenging competitive** market environment

Adj. EBITDA

MXN millions

2Q16	2Q15	% Change	Adj. EBITDA	6M16	6M15	% Change
3,254	2,446	33.0	North America	5,527	3,717	48.7

2Q16	2Q15	Change pp	Adj. EBITDA (%)	6M16	6M15	Change pp
9.7	8.6	1.1	North America	8.7	7.0	1.7

- ✓ Lower **raw material** costs
- ✓ Production **efficiencies**
- ✓ **Lower restructuring** expenses in the US
- ✘ **Integration expenses** in Canada

Latin America

Revenue Growth[1]

MXN millions

2Q16	2Q15	% Change	Net Sales	6M16	6M15	% Change
6,449	5,864	10.0	Latin America	12,439	11,637	6.9

Adj. EBITDA

MXN millions

2Q16	2Q15	% Change	Adj. EBITDA	6M16	6M15	% Change
-131	-4	>100	Latin America	0	100	-99.6

2Q16	2Q15	Change pp	Adj. EBITDA (%)	6M16	6M15	Change pp
-2.0	-0.1	-1.9	Latin America	0.0	0.9	-0.9

- ✓ **Notable performance** in Brazil, Peru and Latin Centro Division
- ✓ **New** product launches
- ✘ **Challenging** economic conditions and currency **volatility** in some markets

- ✘ **Higher prices** for certain commodities
- ✘ **Retirement** of assets in Brazil
- ✘ **Higher costs and integration expenses** in Argentina

Europe

Revenue Growth[1]

MXN millions

2Q16	2Q15	% Change	Net Sales	6M16	6M15	% Change
2,116	1,858	13.9	Europe	4,139	3,643	13.6

- ✓ **FX rate** benefit
- ✗ Pressure in the **bread category**
- ✗ A more **competitive environment**

Adj. EBITDA

MXN millions

2Q16	2Q15	% Change	Adj. EBITDA	6M16	6M15	% Change
33	-112	NA	Europe	8	-105	NA

2Q16	2Q15	Change pp	Adj. EBITDA (%)	6M16	6M15	Change pp
1.6	-6.0	7.6	Europe	0.2	-2.9	3.1

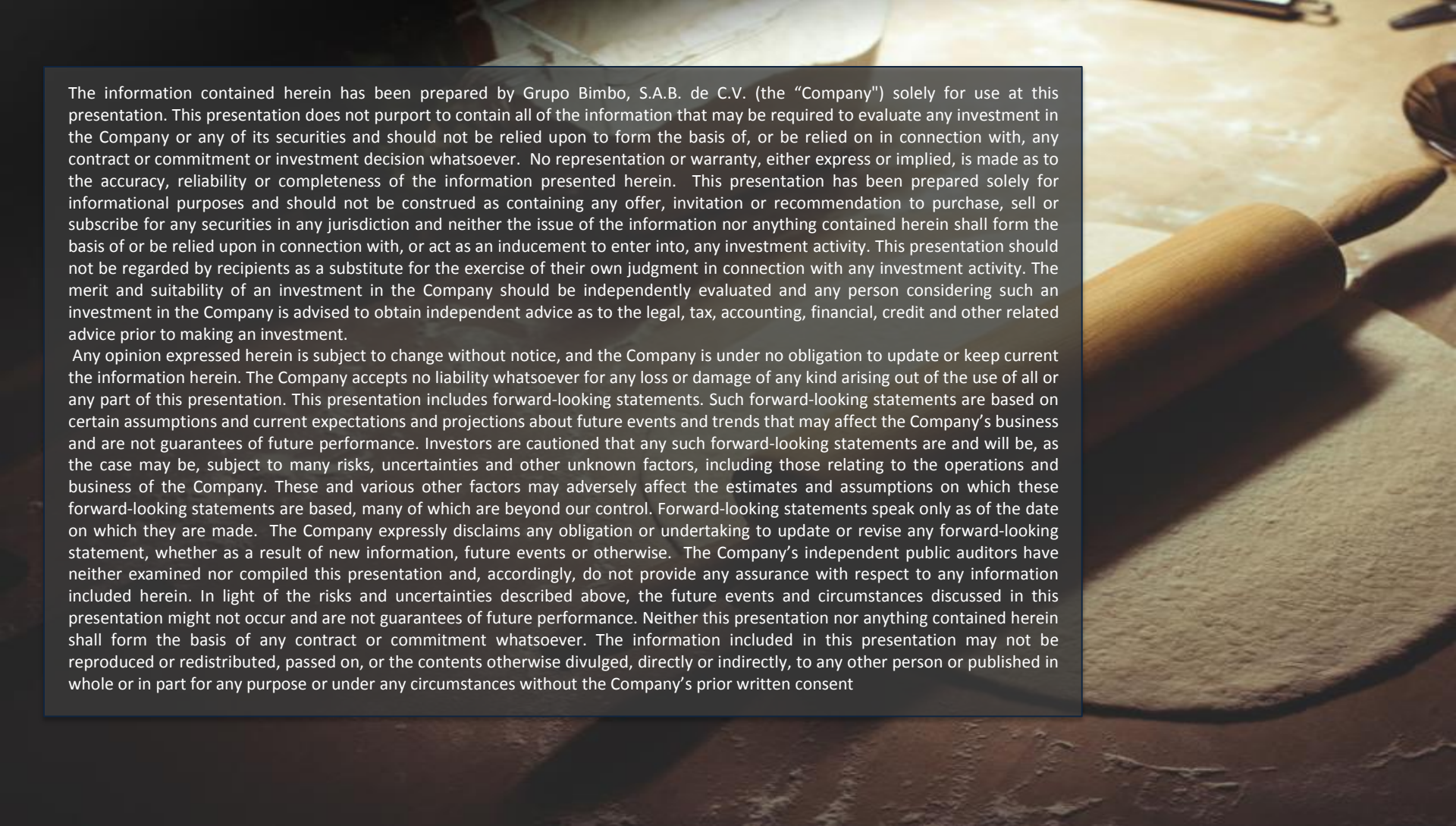
- ✓ Lower **raw material** costs
- ✓ Reduction in **marketing expenses**
- ✓ Lower **restructuring expenses**
- ✓ Manufacturing **efficiencies**



THANK YOU!
¡GRACIAS!

#ConElCariñoDeSiempre

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